

Business Strategy — Week 6 Lecture Notes

Business strategy vs corporate strategy · Porter's generic strategies · Business models · Blue Ocean strategy

Part 1

Three concepts you must distinguish

This class introduces three distinct concepts that are often confused: business strategy, corporate strategy, and business model. They are not interchangeable — and confusing them will cost you marks in the assignment.

Concept	What it answers	Example
Business strategy	How do we compete against rivals in a specific market or activity?	Lidl competes as a cost leader against Tesco and Dunnes in the Irish grocery market
Corporate strategy	How broad and diverse should our organisation be? Which businesses should we be in?	Unilever decides to own both Dove (mass market) and Dermalogica (premium skincare) — two entirely different markets
Business model	How does the organisation make money? What is the mechanism that generates revenue?	Tesco: retail (buy wholesale, sell retail). Amazon: e-commerce. Facebook: multi-sided platform. Nespresso: razor and blade (cheap machine, expensive capsules)

THE UNILEVER EXAMPLE FROM THE LECTURE

Unilever is a corporation. It owns multiple businesses. Dove is one business unit — mass-market, affordably priced, wide distribution. Its business strategy is differentiation on emotional branding and accessibility. Dermalogica is a different business unit — premium dermatological skincare, sold through professionals, premium priced. Its business strategy is differentiation on clinical credibility and exclusivity. When you do your assignment, you must be clear about what level you are analysing. If you analyse Unilever as a whole, that is corporate strategy. If you analyse Dove or Dermalogica alone, that is business strategy. The tools and frameworks differ.

META VS FACEBOOK — THE SAME DISTINCTION

Meta is the corporation (corporate strategy level). Facebook, Instagram, and WhatsApp are individual business units (business strategy level). Alphabet is the corporation. Google Search, YouTube, and Gmail are business units. This distinction matters enormously for your CA2 — decide clearly which level you are analysing and be consistent.

The key insight: you can run a business without a clear strategy and still survive. You cannot run a business without a business model — without a mechanism to make money, you do not have a business at all.

Michael Porter (1980) argued there are only four fundamental competitive strategy options available to any business. Understanding these is essential for the CA2 — your recommendations must evaluate at least two options.

Porter's two dimensions

- Dimension 1 — Competitive advantage: where does your advantage come from?
- Option A: Cost leadership — you are the lowest-cost producer in the industry
- Option B: Differentiation — you offer something distinctive that customers value enough to pay more for
- Dimension 2 — Competitive scope: how broad is your target market?
- Option C: Broad — you compete across a wide market (many segments, many customers)
- Option D: Narrow / niche — you focus on a specific segment, geography, or customer group
- Combining these two dimensions produces four generic strategies

Strategy	Competitive advantage	Market scope	Real example
Cost leadership	Lowest cost in the industry	Broad — serves the whole market	Lidl, Ryanair, Amazon (fulfilment), Saudi Aramco (oil production)
Differentiation	Unique features customers value — higher price justified	Broad — serves the whole market	Apple (design + ecosystem), Tesco (range), Bank of Ireland (trusted brand)
Cost focus (niche low cost)	Lowest cost within a specific segment	Narrow — one segment or niche	Budget airlines on specific regional routes; discount grocery in specific city areas
Differentiation focus (niche differentiation)	Unique value within a specific segment	Narrow — one segment or niche	Dermatologica (professional skincare niche), Michelin-starred restaurants, Evian water

LIDL VS TESCO — APPLIED EXAMPLE FROM THE LECTURE

Both compete in the Irish grocery market — but their strategies are completely different. Lidl: Cost leader. Fewer SKUs, own-brand products, no counters, minimal decor, efficient store layouts, lower wages, less waste. Lower cost structure = higher profit at same or lower prices than rivals. Tesco: Differentiator. Wide range (thousands of products), Finest range, Clubcard loyalty, in-store bakeries, cafes, extensive fresh counters. Customers pay a premium for variety and service. Critical point from the lecturer: Tesco advertises low prices. But their strategy is differentiation — they are NOT the cost leader. Do not confuse what a company SAYS with what it DOES. Strategy is action, not advertising.

Remember: competitive strategy only makes sense in the context of competitors. You cannot describe a company's strategy without describing who they are competing against and what those rivals are doing. Strategy is always relative.

Part 3

Cost leadership — how it actually works

Cost leadership is about having the lowest **COST** structure — not necessarily the lowest **PRICE**. This distinction is critical and frequently misunderstood.

Four key cost drivers (how to achieve cost leadership)

- Lower input costs — access to cheaper raw materials, labour, or energy than competitors. Example: Saudi Aramco's oil is naturally close to the surface, requiring far less drilling cost than North Sea or fracking operations
- Economies of scale — as volume increases, fixed costs spread over more units, reducing cost per unit. Be careful: NOT every business can achieve meaningful scale. This requires high volume potential
- Experience / learning curve — the more you do something, the more efficient you become. Accumulated operational knowledge reduces waste, errors, and time
- Process design — the most important driver according to the lecturer. Costs are consequences of organisational decisions. If you design your processes for low cost from the beginning (like Lidl's store layout, limited SKUs, own-brand focus), the cost advantage is structural and very hard to copy

Position	What it means	Profit outcome
Cost parity	Your costs are lower than rivals, but you charge the SAME price as rivals	Higher profit margin per unit — this is the strategic sweet spot
Cost proximity	Your costs are lower, and you charge a SLIGHTLY lower price than rivals	You attract more customers AND maintain a margin advantage
Aggressive low pricing	You charge significantly less than rivals — using your cost advantage to drive them out of the market	Lower margin per unit but potentially higher volume and long-term market dominance

SAUDI ARAMCO — THE CLEAREST COST LEADERSHIP EXAMPLE

Saudi Arabia's oil sits close to the surface in enormous quantities. Extraction cost per barrel is among the lowest on earth — no deep drilling, no fracking, no offshore platforms needed. At the same oil price (set by global commodity markets), Aramco generates more profit per barrel than any competitor. They are not necessarily selling oil cheaper — they are making more money at the same price. This is pure cost leadership: same price, lower cost, higher profit. The advantage is structural — it comes from geography and process, not management decisions made yesterday.

Differentiation means offering something distinctive that customers value enough to pay a premium for. Uniqueness alone is not enough — it must be valuable. And value is only real if customers are willing to pay for it.

How differentiation is achieved — six sources

- Product attributes — materials, features, country of origin, specifications. Example: Evian water — chemically identical to tap water, but the French Alpine source is a differentiating attribute customers pay for
- Ease of use — simplicity and user experience. Apple built its empire not on the most technically advanced hardware, but on the easiest-to-use products. Difficult interfaces destroy value regardless of technical quality
- Customer service — how you treat customers before, during, and after purchase. Many successful companies survive on nothing else. However: not all customers value service equally — some prefer low price
- Complementary products and services — things that enhance the core product. Software ecosystems, accessories, warranties, maintenance contracts. Apple's App Store and iCloud are complements that lock users in
- Branding — perceived value, status, trust. Branding is a form of complement. It creates a premium that has nothing to do with the physical product
- Network effects — the product becomes more valuable as more people use it. Facebook, WhatsApp, LinkedIn — each new user makes the platform more valuable for all existing users

THE EXTRA CAMERAS PROBLEM — FROM THE LECTURE

Smartphone manufacturers keep adding cameras. A phone now might have 3–5 cameras. Question: Does a 5th camera create value for the customer? For 99% of users — no. They never use it. But adding that 5th camera still COSTS money — in components, in R&D, in production. The result: you have added cost but NOT added value. Your differentiation is worthless because the customer is not willing to pay more for it. This is the differentiation trap: companies keep adding attributes (more features, more specs) without asking whether customers actually value them or will pay more for them. Adding attributes without adding value just increases costs.

Differentiation without economic viability is pointless. Before claiming a differentiation strategy, always ask: Is the segment large enough to make money from? Are customers willing to pay enough to cover the cost of the differentiation? If not, you have uniqueness without value — and no competitive advantage.

Porter's most important warning: trying to be both a cost leader and a differentiator at the same time almost always results in being neither — and produces lower profits than either pure strategy would.

Why being stuck in the middle is dangerous

- You send conflicting messages to customers — are you cheap or are you premium? Confusion reduces trust and loyalty
- You divide your investment — money spent on low-cost efficiency cannot also be spent on differentiation, and vice versa
- You attract no one's best customers — cost-focused customers go to the true cost leader; quality-focused customers go to the true differentiator
- Your margin suffers — you are paying differentiator costs (higher quality inputs, more variety, better service) but charging close to cost-leader prices
- Competitors on both sides outperform you — the cost leader beats you on price, the differentiator beats you on value

TESCO — STUCK IN THE MIDDLE? FROM THE LECTURE

Tesco advertises low prices ('Every Little Helps') — signalling cost leadership. But Tesco also has Finest ranges, in-store cafes, large store formats, and extensive staffed counters — all differentiator investments. The result: Tesco is not as cheap as Lidl or Aldi, and not as premium as Marks & Spencer or Waitrose. The lecturer's view: this confuses both customers and the company itself, and has contributed to Tesco losing market share to Lidl/Aldi at the bottom and to premium retailers at the top. Note: Tesco remains large and profitable — scale and history can partially compensate. But the strategic position is compromised.

BENETTON — HOW COMPETITORS PUSH YOU INTO THE MIDDLE

Benetton invented fast fashion in the 1980s. They were the cost leader in affordable, colourful clothing. Then Zara came. Then H&M.; Then Primark. These competitors pushed Benetton out of the cost leadership position. Benetton could not out-cheap Primark, and was not premium enough to compete with high-end fashion. Key insight: your strategic position is not only determined by your own decisions — it is also shaped by what your competitors do. Benetton did not choose to be stuck in the middle. They were pushed there. Benetton filed for bankruptcy in 2023.

Part 6

Business models — the mechanics of making money

A business model describes HOW an organisation makes money — the configuration of activities, relationships, and revenue streams that generate profit. Every commercial organisation has one, whether they know it or not.

Business model type	How it works	Example
Retail	Buy at wholesale price, sell at retail price. Margin is the difference.	Tesco, Penneys, Dunnes Stores
E-commerce	Same as retail but delivered digitally or via logistics networks.	Amazon, ASOS, Zalando

Multi-sided platform	Bring multiple groups together; charge one or both sides; own no inventory.	Facebook (users + advertisers), Airbnb (hosts + guests), Uber (drivers + riders)
Subscription	Charge a recurring fee for ongoing access. Customer pays whether they use it or not.	Netflix, Spotify, Microsoft 365, gym memberships
Razor and blade	Sell the hardware cheaply (or free), make money on consumables.	Nespresso (cheap machine, expensive capsules), printers (cheap printer, expensive ink)
Freemium	Free basic version; charge for premium features. Convert free users to paying.	Spotify, LinkedIn, Dropbox, most mobile apps
Insurance / risk transfer	Customer pays a premium; company accepts the risk of a loss event.	AIG, Allianz, VHI Healthcare
Banking / financial intermediation	Take deposits at low interest, lend at higher interest. Profit is the spread.	Bank of Ireland, AIB, Revolut
Franchising / licensing	License your model, brand, or IP to others; collect royalties or fees.	McDonald's, Subway, many pharmacy chains
Manufacturing	Transform raw inputs into finished products and sell the output.	Toyota, Intel, pharmaceutical manufacturers

MULTI-SIDED PLATFORMS — THE UBER AND AIRBNB MODEL EXPLAINED

Traditional taxi companies OWN their cars and EMPLOY their drivers. Asset-heavy, high costs. Uber owns NO cars and employs NO drivers. It simply connects drivers who want passengers with passengers who want drivers. Uber certifies drivers, manages trust, handles payments, and takes a commission. Traditional hotels OWN their buildings and EMPLOY their staff. Massive capital investment. Airbnb owns NO properties. It connects people with spare rooms or properties to people who need accommodation. Airbnb manages trust, reviews, and payments — taking a commission from both sides. What the internet made possible: building cross-market trust at massive scale, very quickly, with minimal physical assets. That is why these companies have extraordinary profit margins and valuations.

REVOLUT VS BANK OF IRELAND — SAME INDUSTRY, DIFFERENT MODEL

Bank of Ireland: traditional banking model. Physical branches, large staff, regulatory capital requirements, legacy IT systems. High fixed costs. Revolut: digital-only bank. No branches, no tellers, highly automated, lower regulatory burden (initially). Dramatically lower cost structure. Bank of Ireland can NEVER be as cheap to run as Revolut. If Bank of Ireland tried to compete purely on cost, they would destroy their own business model before they closed the gap. Bank of Ireland's advantage: trust, established relationships, physical presence, regulatory credibility for complex products (mortgages, business lending). Different value proposition — not a direct price war.

Blue Ocean Strategy (Kim & Mauborgne, 2004) argues that companies can simultaneously achieve differentiation AND low cost by creating entirely new market spaces rather than competing in existing ones.

Concept	Red Ocean	Blue Ocean
Market	Existing — defined boundaries, known competitors, established rules	New or uncontested — boundaries not yet defined, competition irrelevant
Strategy logic	Beat the competition: be cheaper OR be better	Make the competition irrelevant: be cheaper AND better by eliminating what customers do not value
Growth source	Take market share from existing competitors	Create new demand — convert non-customers into customers
Risk	Predictable but intensely competitive. Margins erode over time.	High risk of failure — new markets may not materialise. High reward if successful.

CIRQUE DU SOLEIL — THE TEXTBOOK BLUE OCEAN EXAMPLE

Traditional circus: expensive animals, big tents, star performers, family-focused, declining attendance, ethical concerns about animals. Traditional theatre: sophisticated, adult-focused, expensive venues, no physical spectacle. Cirque du Soleil eliminated from circus: animals (cost + ethics), star performer egos, multiple show arenas. Cirque du Soleil added from theatre: sophisticated narrative, artistic themes, premium venue experience, adult audience willing to pay theatre prices. Result: they created a new market that did not previously exist — neither circus nor theatre. They attracted adults who would never go to a circus, and charged theatre-level prices. Revenues competitors took a century to achieve, Cirque reached in a few years.

THE REMOTE CONTROL ANALOGY — FROM THE LECTURE

A standard TV remote has 50+ buttons. Research shows most viewers regularly use only 5: power, volume up, volume down, channel up, channel down. Blue Ocean thinking: what if you make a remote with only those 5 buttons? You eliminate all the manufacturing cost of the other 45 buttons. You do not reduce value to the customer — they never used those buttons anyway. You have achieved lower cost WITHOUT reducing the customer's perceived value. You can now either charge the same price and take higher margin, or charge less and take market share. This is the core logic: eliminate what costs money but does not create value. Amplify what creates value but does not cost much.

The lecturer's honest assessment of Blue Ocean strategy

- The concept is intellectually valid — value innovation (reducing costs while maintaining or increasing perceived value) is real and important
- The lecturers who developed it (Kim and Mauborgne) are excellent at selling the idea — there is a branding element to 'Blue Ocean' that should make you slightly sceptical
- In practice, it is extremely difficult to execute — you need deep customer insight to know what they truly value vs what they do not
- Most companies attempting Blue Ocean end up stuck in the middle rather than achieving both positions
- The interactive/game theory model of competition (responding to rival moves) is more relevant to day-to-day business reality than the static Blue Ocean framework
- Value innovation IS the useful takeaway: always ask 'is this feature/cost adding customer value, or just adding cost?'

Part 8

Assignment guidance — CA2 implications

Everything covered in this class feeds directly into your CA2. You are building toward strategic recommendations — and those recommendations must be grounded in the analysis and framed using these concepts.

What the CA2 requires from this class

- Identify and clearly define the competitive strategy of your chosen company — cost leadership, differentiation, focus, or hybrid
- Support your identification with evidence from behaviour (what they actually do), not advertising (what they say)
- Identify the business model — how does the company make money? Retail, platform, subscription, manufacturing?
- Distinguish clearly between business-level analysis and corporate-level analysis — be consistent
- Evaluate at least TWO strategic options — this is mandatory. You must consider alternatives, not just describe the current position
- Use the Porter generic strategies matrix as a framework for your options
- Consider the competitive position on a perceptual map — where does your company sit relative to competitors on price vs quality/differentiation?
- Any recommendation must emerge from the analysis — you cannot recommend something not supported by evidence

Common mistakes to avoid

- Describing what the company says it does rather than what it actually does — strategy is action, not advertising
- Confusing business strategy with corporate strategy — decide your level of analysis and stay consistent
- Confusing business model with competitive strategy — they are different answers to different questions
- Recommending a company pursue both low cost AND differentiation without rigorous justification — being stuck in the middle is a strategic failure, not a strategy
- Making recommendations that are not grounded in the analysis — every recommendation must trace back to something you uncovered in PESTLE, Five Forces, VRIO, or cultural analysis
- Ignoring competitors — you cannot define a company's competitive position without comparing it to rivals

Summary

Key takeaways — Week 6

Remember these

- Three distinct concepts: business strategy (how to compete), corporate strategy (what to be in), business model (how to make money)
- Porter's four generic strategies: cost leadership, differentiation, cost focus, differentiation focus
- Cost leadership $\neq$ lowest price. It means lowest cost — you choose what price to charge
- Differentiation $\neq$ uniqueness. Uniqueness must also be valuable and economically viable
- Stuck in the middle = trying to be both and succeeding at neither — lower margins, confused customers
- Your competitive position is partly determined by competitors' decisions, not just your own
- Business models: retail, e-commerce, multi-sided platform, subscription, razor-and-blade, freemium, insurance, banking, franchising, manufacturing
- Multi-sided platforms work because the internet enabled cross-market trust at massive scale with minimal assets
- Blue Ocean: create new markets by eliminating what customers do not value and amplifying what they do — very hard in practice
- Value innovation is the practical takeaway: always ask whether a cost is adding customer value
- For CA2: evaluate at least two strategic options, grounded in your analysis, using these frameworks